

A LONG WINTER

RIDING ON SKY-HIGH valuations and a frenetic pace of fundraising, start-ups went all out for growth in 2021. But then 2022 happened, and a combination of macro events including high inflation, rising interest rates and geopolitical issues slowed everything down. Besides a tightening funding climate that pushes start-ups to extreme cost reduction, fears of a global slow-down are sweeping through the industry. The ongoing start-up bloodbath of distress sales, shut-downs and layoffs, that began in mid-2022, is expected to last through the New Year and possibly longer.

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KITCHEN KING

Will Deepinder Goyal finally take his 14-year-old venture, Zomato, to profitability in 2023? Zomato, in its latest quarterly results, said the company has made significant improvements on both cost and revenue sides, helping it to increase its contribution margin. Global brokerage firm Jefferies says Zomato is gaining market share over rival Swiggy while its quick-delivery service Blinkit continues to grow impressively. Are profits around the corner for Goyal?



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VISION VIACOM

IPL 2023 WILL be the first year when Viacom18's digital strength will be tested. A bit of that was seen in the FIFA World Cup but in a cricket-crazy nation, there is a lot at stake for the broadcaster. Given the money that has been paid (₹23,758 crore) to acquire the digital rights, how Viacom18 creates a robust revenue model will be closely watched.

DEBT FUNDS TO DOMINATE

There is good news for those with a low risk appetite. While debt funds gave returns of only 2-4 per cent in 2022, they are expected to be much higher in 2023. With a rise in interest rates followed by high yields, fund managers are betting big on debt in 2023. Moreover, with huge government borrowing lined up, bond yields are expected to go up, further offering higher returns to fixed-income lovers.



Capital Control

INDIA'S RELATIVELY STRONG position in times of uncertainty has led to investors preferring large-caps as a flight to safety from volatility in the market in 2022. There are hopes that blue chips will continue to do better in the near term. "Large-caps will be dominant now, but 2023 could well be the year for small- and mid-caps to dominate their large-cap peers as we gain more clarity on interest rate trajectory," says Anil Rego, Founder and Fund Manager of Right Horizons, a financial services firm.